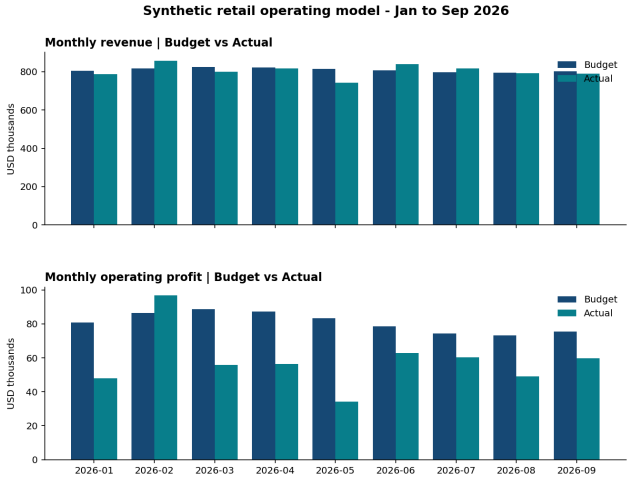
Retail Financial Planning & Analysis | Management Brief

100% SYNTHETIC operating data | Fictional 3-product retailer | Jan-Sep 2026 | USD

Revenue | budget vs actual	**$7.284M vs $7.236M**
Revenue variance	**-47.8K USD | -0.66%**
Operating profit variance	**-204.7K USD | -28.1%**
Revenue volume / price effects	**-33.9K / -13.8K USD**
Illustrative Q4 / FY outlook	**$2.418M / $9.654M revenue**



What happened in the scenario?

Actual sales were around **0.7% below plan**, but operating profit was around **28.1% below plan**. Modest top-line misses combined with higher unit variable costs and fixed expenses created significantly greater pressure on profit.

A two-part revenue bridge allocates -$33.9K to volume and -$13.8K to realized selling price, with the interaction assigned to price. Increased variable cost (~$104.7K) and fixed expenses (~$52.3K) explain the remainder of the operating-profit gap.

Recommended management questions

Check pricing/mix by product, supplier-price increases, and month-specific fixed-cost overruns. Run a conservative sales-volume and unit-cost scenario in the workbook rather than assuming missing revenue alone explains margin weakness.

Reconcile the contribution bridge: Revenue variance minus increase in variable costs minus increase in fixed costs equals operating-profit variance.

For Q4, project September 2026 synthetic run rates with editable assumptions (units +1% monthly, prices unchanged, variable unit costs +0.5% monthly, fixed costs +0.3%). The forward-looking outlook is a scenario, not a statistical forecast.

Data integrity and limits

ALL data are synthetic. The results do not describe Walmart or any actual employer, product or financial performance. Nine months is a demonstration horizon, not a statistically validated forecast. Management recommendations are educational scenario responses only.

Source: Custom reproducible synthetic generation: src/generate_data.py (NumPy seed 20261019).